Business and Operational Risks

- **Macro economic environment:** We continue to monitor and adapt to any macro-economic condition that affects our customers and merchants as it could also have an impact on our business. We will continue to do all that is necessary and in our control in such scenarios
- **Financial:** We continue to focus on improving profitability while making disciplined investments in areas such as expanding our products and services, broadening our marketing and promotional activities to acquire and retain customers and merchants. There could be growth in expenses as we continue to expand our business operations
- **Pace of technology innovation:** We make significant investments to constantly improve the scale, stability and functionality of our technology. Failure to maintain best-in-class technology infrastructure could harm our business and prospects
- **Cybersecurity:** Our platform incorporates multiple layers of protection for business continuity and to manage cybersecurity risks and data security breaches. We use analytics and machine learning to ensure optimum automated fraud detection during transaction processing. Encrypted data transmission using security protocols and algorithms ensures confidentiality and prevents leakage of confidential customer data. Data and technology infrastructures are vulnerable to cyber attacks, as any such incident could damage our reputation and brand and substantially harm our business
- **Regulatory:** We are extremely focused on ensuring compliance with the statutory and regulatory framework, and are continuously strengthening our compliance processes and management depth as some of our businesses are subject to a fast evolving regulatory landscape
- **Competition:** We consistently invest in enhancing our platform and customer-centric services in order to maintain our leadership. Our industry is extremely competitive, and consumers and merchants have multiple options
- **Litigation:** We have a dedicated team to manage litigation risk and engage external consultants where necessary, thereby ensuring minimum impact of materiality. As a Company (or key management) we may be subject to legal proceedings, including ongoing litigation in tax, civil or other matters

Material Developments in Human Resources

In FY 2026, we had an average of 47,826 active on-roll employees, inclusive of all subsidiaries. Our average on-roll employee base continued to shift toward sales and service roles, reflecting our investment in merchant and consumer distribution. Average sales employees increased to 42,018 in FY26 (from 32,614 in FY25), as we invested in deepening our presence in tier-2 and tier-3 cities.

Non-sales employee costs (including ESOP costs) declined materially on a year-over-year basis, driven by: (i) significantly lower ESOP costs, and (ii) AI-led productivity improvements that improved output per employee across technology, operations, and support functions. None of our employees are represented by a labour union. We have not experienced any work stoppages since incorporation. We are committed to creating an inclusive, meritocratic, and purpose-driven workplace that attracts and retains the best talent in India's digital economy.

Sustainability and Supporting our Community

We are governed by our values of serving the community, and maintaining trust while moving fast, responsibly and focusing on the underserved and unserved. Not only do we solve for our merchants receiving mobile payments via various sources, and in turn, engaging more users, but also provide seamless and safe access to micro-credit, business payment solutions and wealth management. Paytm is committed to sustainability and is dedicated to ESG. The company's sustainability efforts include promoting financial inclusion, and supporting local communities.

Mobile Payments: Paytm has played a significant role in promoting mobile payments and reducing the reliance on cash transactions. By providing a seamless and secure digital payment experience, Paytm has contributed to greater financial inclusion and transparency, reducing the environmental impact associated with the production and circulation of physical currency. Products like Soundbox devices allow better reconciliation for merchants, hence enhancing their trust in digital payments.

Business Responsibility and Sustainability Report

In compliance with Regulation 34 of the SEBI Listing Regulations read with SEBI Master Circular No. HO/49/14/14(7)2025-CFD-POD2/I/3762/2026 dated January 30, 2026, the Business Responsibility and Sustainability Report of the Company for FY 2025-26 describing the various initiatives undertaken from an environment, social and governance perspective during FY 2025-26 forms part of this Annual Report.

Management Discussion and Analysis Report

The Management Discussion and Analysis Report for FY 2025-26 on Company's performance, industry trends and other required details prepared in compliance with Regulation 34 of the SEBI Listing Regulations, forms part of this Annual Report.

Report on Corporate Governance

Corporate governance is about maximizing shareholder value legally, ethically and sustainably. Our corporate governance practices are a reflection of our value system encompassing our culture, policies, and relationships with our stakeholders. In compliance with Regulation 34 read with Schedule V of the SEBI Listing Regulations, the Report on Corporate Governance of the Company, inter alia, covering composition, details of meetings of the Board and Committees, together with a certificate from M/s. VAPN & Associates, Practicing Company Secretaries (Firm Registration No.: P2015DE045500) regarding compliance of conditions of Corporate Governance, forms part of this Annual Report.

Extract of Annual Return

The Annual Return of the Company as on March 31, 2026, in form MGT-7 as required under Section 92 and Section 134 of the Act read with Rule 12 of the Companies (Management and Administration) Rules, 2014 is available on the website of the Company at https://ir.paytm.com/agm.

Internal Auditors

An external audit firm appointed by the Board and an inhouse Internal Audit team jointly performs defined Internal Audit functions as approved by the Audit Committee.

Internal Audit function is governed by the Internal Audit Charter and Internal Audit Manual approved by the Audit Committee. Internal Audit scope, Internal Audits/ reviews along with the update on remediation status are submitted and presented in the Audit Committee meetings every quarter.

Internal Audit function is responsible for independently evaluating the adequacy and effectiveness of internal controls, risk management, compliance with extant regulations, governance framework and business processes and is staffed with appropriately qualified and experienced professionals. Audits are undertaken based on a risk-based internal audit plan, which is formulated through an annual risk assessment exercise conducted by the Internal Audit function.

Internal Financial Control and its adequacy

The Company has laid down adequate internal financial controls commensurate with the scale and size of the operation of the Company. The Company has in place adequate policies and procedures for ensuring the orderly and effective control of its business, including adherence to the Company's policies, safeguarding its assets, prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial disclosures.

Prevention of Sexual Harassment at Workplace

Paytm's goal is to ensure that employees, regardless of gender, sexual orientation, or any other distinguishing factors, feel empowered to contribute to the best of their abilities. In line with this, the Prevention of Sexual Harassment ("POSH") at Workplace Policy has been framed under the provisions of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 ("POSH Act"), to prohibit, prevent or deter the commission of acts of sexual harassment at workplace and to provide the procedure for the redressal of complaints pertaining to sexual harassment, which is hosted on the Company's website and can be accessed using the below link: https://paytm.com/document/ir/policies-and-guidelines/Prevention-of-Sexual-Harassment-at-Workplace-Policy.pdf. The Company has also constituted an Internal Complaints Committee ("ICC") as per the requirements under the POSH Act. The ICC ensures that all cases reported are resolved in a timely manner, in accordance with the POSH Act. All the existing employees and any new joiner undergoes a mandatory training on POSH every fiscal year. The Company also ensures to organize several virtual seminars on POSH for all employees to make them cognizant of the guidelines laid in the policy.

The detailed disclosure on POSH is given in the Corporate Governance Report, which forms part of this Annual Report.

Maternity Benefit Act, 1961

The Company has complied with all applicable provisions relating to the Maternity Benefit Act, 1961 and all benefits and entitlements are duly extended to eligible employees.

Particulars of Employees

The statement containing disclosure of remuneration under Section 197(12) of the Act read with Rule 5(1) of the

(b) The Securities and Exchange Board of India (Prohibitions of Insider Trading) Regulations, 2015- **{Not applicable to the Company during the period under review};**

(c) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018- **{Not applicable to the Company during the period under review};**

(d) The Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 ("SEBI SBEB Regulations")- **{Not applicable to the Company during the period under review};**

(e) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client- **{Not applicable to the Company during the period under review};**

(f) The Securities and Exchange Board of India (Issue and Listing of Non-Convertible Securities) Regulations, 2021- **{Not applicable to the Company during the period under review};**

(g) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018- **{Not applicable to the Company during the period under review};**

(h) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021- **{Not applicable to the Company during the period under review};**

(i) The Securities and Exchange Board of India (Investor Protection and Education Fund) Regulations, 2009- **{Not applicable to the Company during the period under review};**

(j) The Securities and Exchange Board of India (Issue and Listing of Securitised Debt Instruments and Security Receipts) Regulations, 2008- **{Not applicable to the Company during the period under review};** and

(k) The Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015- **{Not applicable to the Company during the period under review};**

(vi) We further report that, having regard to the compliance system prevailing in the Company and on examination of the relevant documents and records in pursuance thereof on the test-check basis, the Company has complied with regulations of the following pertinent laws, rules, regulations and guidelines as specifically applicable to the Company during the period under review. Accordingly, we have examined compliance with the applicable clauses of the following specific laws:-

(a) The Payment and Settlement Systems Act, 2007 read with Payments and Settlement Systems Regulations, 2008 **('PSS Act, 2007')**;

(b) Guidelines on Regulation of Payment Aggregators and Payment Gateways **('PA/PG Guidelines')** as updated thereunder; and

(c) Directions for Opening and Operation of Accounts and Settlement of Payments for Electronic Payment Transactions Involving Intermediaries **(Intermediaries Directions')** vide RBI's Notification dated November 24, 2009.

(d) Reserve Bank of India (Know Your Customer (KYC)) Directions, 2016 to the extent it relates to Payment Aggregator/ Payment Gateway.

We have also examined compliance with the applicable clauses of the following:

(i) Secretarial Standards with regard to Meeting of Board of Directors (SS-1) and General Meetings (SS-2) issued by The Institute of Company Secretaries of India; and

(ii) The Listing Agreements entered into by the Company with BSE Limited and National Stock Exchange of India Limited, if applicable- **{Not applicable to the Company during the period under review}.**

During the period under review, the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above.

7,43,394 equity shares of the Company and held 6,22,774 outstanding stock options granted under the One 97 Employees Stock Option Scheme of the Company.

****Ms. Manisha Raj Raisinghani (DIN:06798956) was appointed as a Non-Executive Independent Director of the Company w.e.f. November 04, 2025 for a term of five (5) consecutive years.

*****Mrs. Pallavi Shardul Shroff (DIN: 00013580), ceased to be Non-Executive Independent Director of the Company w.e.f. closure of business hours on February 08, 2026, consequent upon completion of her second consecutive term of five years as an Independent Director.

Key Board Skills, Expertise and Competencies

The Board of the Company represents the following core skills, expertise and competencies:

Area	Particulars
Business and Management	Knowledge, experience, or meaningful exposure of the business environment, economic conditions, cultures across various geographical markets, industry verticals, and regulatory jurisdictions, and a broad perspective on market opportunities.
Corporate Governance	Experience in designing, finalizing and implementing good corporate governance practices, reviewing compliance and governance practices for a sustainable growth of the company, supporting a strong Board base and management accountability, transparency, and protection of shareholders interests.
Technology and digital expertise	Understanding the use of digital/ information technology, ability to anticipate technological driven changes and disruption impacting business and appreciation of the need of cyber security and controls across the organisation.
Finance	Knowledge and skills in accounting, finance, treasury management, oversight for risk management and internal controls, understanding of capital allocation, funding and financial reporting processes.
Marketing	Ability to lead the strategies to grow market share, build brand awareness and equity, enhance brand reputation, and to leverage consumer insights for business benefits. Ability and experience to leverage the innovation in products and categories in consumer space for growth and profitability and understanding of Research and Development activities.

Skills (Directors as on March 31, 2026)	Mr. Vijay Shekhar Sharma	Mr. Ashit Ranjit Lilani	Mr. G. S. Sundararajan	Mr. R. K. Agarwal	Mr. Ravi Chandra Adusumalli	Ms. Urvashi Sahai	Ms. Manisha Raj Raisinghani
Business and Management	✓	✓	✓	✓	✓	✓	✓
Corporate Governance	✓	✓	✓	✓	✓	✓	✓
Technology and digital expertise	✓	✓	✓	✓	✓	✓	✓
Finance	✓	✓	✓	✓	✓	✓	✓
Marketing	✓	✓	✓	-	✓	✓	✓

Information flow to the Board Members

The Board meets at regular intervals to inter alia discuss and decide on business strategies/ policies and review the financial performance of the Company. The schedule of the Board and Committee meetings are finalized in advance in consultation with the Board members and communicated to them in advance. Additional meetings are also called, when necessary, to consider the urgent business matters.

The detailed agenda along with the relevant notes and other material information are sent in advance, individually to each Director and in exceptional cases, placed at the meeting of the Board in accordance with the applicable laws. This ensures timely and informed decisions by the Board.

The Company's quarterly and annual financial results/ statements are first presented to the Audit Committee and subsequently placed before the Board for its approval.

In addition to above, various matters such as appointment of Directors, Key Managerial Personnel, Senior Management Personnel, details of investor grievances, important managerial decisions, material developments and legal/ statutory matters are inter alia presented to the respective Committee(s) and placed for noting / approval of the Board subsequently upon recommendation by the respective Committee(s).

Senior Management Personnel and functional heads of various businesses are invited to provide additional insights and clarifications on the items being discussed at the Board or Committee meetings.

The composition of the Committee and attendance of members at the Committee meetings held during FY 2025-26, are given below:

S. No.	Date of Committee meeting	Name of the Committee Members				No. of Members present (Total Strength)
		Mr. Rajeev Krishnamuralilal Agarwal, Chairperson*	Mr. Ashit Ranjit Lilani, Member*	Mr. Madhur Deora, Member	Ms. Urvashi Sahai, Member**	
1.	May 06, 2025	Yes	Yes	Yes	NA	3(3)
2.	November 04, 2025	Yes	Leave of absence	NA	Yes	2(3)
Number of meetings attended (total meetings held during tenure)		**2(2)**	**1(2)**	**1(1)**	**1(1)**	
% of attendance		**100**	**50**	**100**	**100**	

*After the closure of the financial year, Mr. Rajeev Krishnamuralilal Agarwal (DIN: 07984221), stepped down as the Chairperson of Stakeholders' Relationship Committee and Mr. Ashit Ranjit Lilani (DIN: 00766821) was appointed as a Chairperson of the Committee w.e.f. May 07, 2026. Ms. Manisha Raj Raisinghani (DIN: 06798956) was also co-opted as a member of the Committee w.e.f. May 07, 2026.

**Ms. Urvashi Sahai (DIN: 09521316), Whole-time Director, designated as "Executive Director and General Counsel" and Key Managerial Personnel of the Company, resigned from the office of Director, Whole-time Director and Key Managerial Personnel of the Company, in order to focus on her executive responsibilities within the Company, w.e.f. closure of business hours on July 05, 2026. She continues in her role as General Counsel and Senior Vice President-Legal. Accordingly, she ceased to be an Executive Director and a member of the Stakeholders' Relationship Committee w.e.f. closure of business hours on July 05, 2026.

Other Information:

The current five year term of Mr. Ashit Ranjit Lilani (DIN: 00766821) as a Non-Executive Independent Director concluded w.e.f. closure of business hours on July 04, 2026, and he did not seek reappointment. Accordingly, he ceased to be the Chairperson and member of the Stakeholders' Relationship Committee w.e.f. closure of business hours on July 04, 2026. The Board of Directors, based on the recommendation of the NRC, at its meeting held on July 03, 2026, appointed Mr. Narasinganallore Venkatesh Srinivasan and Ms. Sachee Trivedi as Additional Directors in the category of Non-Executive Independent Directors of the Company w.e.f. July 05, 2026. Mr. Narasinganallore Venkatesh Srinivasan was appointed as a Chairperson of the Committee and Ms. Sachee Trivedi was co-opted as a member of the Committee w.e.f the said date.

Further, at its meeting held on July 20, 2026, the Board appointed Mr. Amitabh Kumar Singhal as an Additional Director in the category of Non-Executive Non-Independent Director of the Company w.e.f. July 20, 2026. He was also co-opted as member of the Stakeholders' Relationship Committee w.e.f. July 21, 2026.

Post the above change, the current composition of the Stakeholders' Relationship Committee is as follows: Mr. Narasinganallore Venkatesh Srinivasan (Chairperson), Ms. Manisha Raj Raisinghani (Member), Ms. Sachee Trivedi (Member) and Mr. Amitabh Kumar Singhal (Member).

Terms of Reference

- Considering and looking into various aspects of interest of shareholders, debenture holders and other security holders;
- Resolving the grievances of the security holders of the listed entity including complaints related to transfer/ transmission of shares, non-receipt of annual report, non-receipt of declared dividends, issue of new/ duplicate certificates, general meetings etc;
- Giving effect to allotment of equity shares, approval of transfer or transmission of equity shares, debentures or any other securities;
- Issue of duplicate certificates and new certificates on split/consolidation/renewal, etc;
- Review of measures taken for effective exercise of voting rights by shareholders;
- Review of adherence to the service standards adopted by the listed entity in respect of various services being rendered by the Registrar & Share Transfer Agent;
- Review of the various measures and initiatives taken by the listed entity for reducing the quantum of unclaimed dividends and ensuring timely receipt of dividend warrants/annual reports/statutory notices by the shareholders of the company;
- Resolving grievances of debenture holders related to creation of charge, payment of interest/principal, maintenance of security cover and any other covenants; and
- Carrying out any other function required to be carried out by the Stakeholders' Relationship Committee as contained in the SEBI Listing Regulations or any other applicable law, as and when amended from time to time.